



Indicators



Alert



Replay



With the zeal to develop a weekly trading strategy, I delve deep into different concepts of futures and options to understand how I benefit from the derivatives segment while being in my office. This led to the exploration of calendar spread.

CALENDAR SPREAD STRATEGY

A calendar spread is a strategy where we sell the 300-400 strike price OTM spread and put options of the current expiry and buy the call and put options of the same strike but of the next expiry.

SELL

Sell the 300-400 strike price OTM call

BUY

Buy the call and put options of the same strike but of the next expiry.

Let's understand this with an example: On 24th May 2023, the Nifty 50 index closed at 18,285. If we look at the chart with daily timeframe, we can see that the market was stuck between 18059 to 18459, a 400-point range. Now in this situation we would want to eat premium by selling options of the current week expiry and if the market moves. The Vega should benefit us.

That is why, we would buy the next week's expiry. The range for the market is 400 points. So, we will sell 18,500 CE option and the 18,000 PE option. In this case, the expiry is on the next day so we will sell options of 1st June 2023 and buy options of 8th June 2023.

